

always be the case. Indeed, for most of the decades since 1950, the U.S. market has underperformed an equal-weighted global basket of developed market stocks.⁴

INTRINSIC VALUE IN INTERNATIONAL MARKETS

Those who accept the case for investing in international markets must then grapple with the analytical challenges this presents. Assessing the intrinsic value of a security in international markets can be more difficult than in the United States. In *Security Analysis*, Graham and Dodd identify three obstacles in assessing intrinsic value. (Chap. 1) The first, inadequate or incorrect data, is an obstacle that they found to be the least important for the U.S. market, concluding that “deliberate falsification of data is rare” due to “the result of regulations.” While this may not be entirely accurate for the U.S. market, the availability of adequate and correct data is certainly a bigger challenge in many international markets. More lenient accounting practices and regulatory enforcement provide managements more leeway to manipulate or falsify financial results abroad, such as in the cases of prominent frauds like Wirecard (2020)⁵ or Steinhoff (2017).⁶ Analysts must take care when analyzing the books and records of international companies, looking for telltale signs of questionable practices, ranging from unusual recurring charges or other related party transactions, suspicious patterns of litigation, and large and frequent insider share transactions. In addition, high inflation, currency devaluations, and currency

⁴ Sean Duffin, “Benefits of Global Diversification,” Cambridge Associates, April 27, 2020, <https://www.cambridgeassociates.com/insight/benefits-of-global-diversification/>.

⁵ Dan McCrum, *Money Men: A Hot Start-Up, a Billion Dollar Fraud, a Fight for the Truth*, Bantam Press, 2022.

⁶ Tiisetso Motsoeneng and Emma Rumney, “Pwc Investigation Finds \$7.4 Billion Accounting Fraud at Steinhoff, Company Says,” Reuters, March 15, 2019, <https://www.reuters.com/article/us-steinhoff-intln-accounts/pwc-investigation-finds-7-4-billion-accounting-fraud-at-steinhoff-company-says-idUSKCN1QW2C2>.